Adam Posen Thinks Things Could Get Very 'Messy' for the Fed

Podcast: Odd lots

AI Executive Summary

Core Thesis

The episode features economist Adam Pozen analyzing the Federal Reserve's trajectory through its current Chairmanship (referred to as Chairman Warsh in the transcript), focusing on the tension between fiscal dominance and monetary policy independence. Central themes include the persistence of inflation in core services despite recent energy price dips, the risks of political interference via bond market pressure, and the delayed impact of AI transformation on labor markets and productivity, alongside significant concerns regarding the economic brain drain of experts moving to AI firms.

Key Arguments & Data

- **Fed Speech Analysis:** The Jackson Hole speech (referred to as a "German warship" speech in the transcript) is critiqued but viewed as an improvement over previous years ("B minus"). Chair Kevin Warsh explicitly stated the 2% PCE inflation target, though Pozen warns he continues to retain discretion on inflation speed and has been criticized for not pre-committing more than the Fed staff's internal forecasts.
- **Inflation Outlook:** Inflation remains persistent in core measures (services) and could persist into the high threes or fours for months; a recent drop is attributed to temporary energy market factors. Pozen expects inflation to continue climbing if policy does not tighten further. He anticipates Fed funds rates will be 75–100 pips higher than current levels within six months, driven by a need for hikes in September and December if not yet occurring.
- **Fiscal Dominance:** The transcript highlights the unprecedented threat of fiscal dominance under recent administrations (specifically regarding tax cuts and spending), where the Treasury demands rate support to sell bonds ("help me sell U.S. bonds"), potentially forcing the Fed to lower rates even with high inflation or increasing the risk of losing credibility.

- **Fed Leadership & Politics:** There is a debate on whether the Chair should build consensus (as under Powell) or allow "family fight" (more dissent, per Warsh's recent rhetoric). Pozen notes that suppressing dissent (often due to political attacks by Trump administration figures regarding appointments and voting rights) has reduced healthy debate within the FOMC, creating a psychological barrier for future dissents.
- **AI Migration:** Significant numbers of social scientists and economists are leaving universities/think tanks to work at top AI companies (e.g., Anthropic). Pozen notes this is driven by financial incentive, seductive potential for world-changing impact, and policy influence opportunities, which risks reducing independent expert voices.
- **Labor Market & AI:** Current data shows a lack of job growth in coding and specific sectors (like trucking) despite high tech investment, attributed to re-employment overhangs post-COVID rather than immediate AI displacement. Pozen supports the "messy jobs" theory (specialized human knowledge is complementarity-based) over "vortex theory" (rapid automated replacement).
- **Productivity & Measurement:** Productivity gains from AI are still early; current GDP data may undercount domestic value-added production due to supply chain complexities (e.g., NVIDIA chips manufactured overseas but designed in the US). The 0.3% GDP adjustment cited in reports is noted as "real money" but doesn't necessarily imply Fed policy should change if fiscal constraints exist. Productivity benefits are expected to follow a "J-curve," appearing only after businesses transform operations (like 90s software companies vs. industrialization).
- **Fed Mandate & Accountability:** Adam Pozen discusses Mervyn King's fan charts for transparency, contrasting them with the market's skepticism about central bank forecasting abilities and moral hazard risks of "spoon-feeding" markets.

Actionable Takeaways

- **Monitor Fed Policy:** Investors should expect potential Fed rate hikes (Sept/Dec) if inflation remains sticky in core services, as a tightening

of financial conditions is viewed as necessary to combat persistent inflation.

- **Fiscal Risk Assessment:** Central bank practitioners and investors should watch for signs of "fiscal dominance," such as Treasury pressure forcing the Fed to accommodate government bond sales, which could undermine long-term rate credibility.
- **AI & Employment Strategy:** Businesses and policymakers should anticipate that AI-induced displacement is not immediate; focus on the "messy jobs" and "specialized skills" theory rather than expecting rapid automation of complex roles like trucking or specialized repair work.
- **Policy Independence:** Policymakers must be vigilant against political interference in Fed appointments (e.g., threatening to politicize turnover) to maintain central bank independence from fiscal dominance pressures.
- **Data Interpretation:** Recognize that current GDP data may not capture the full impact of technological revolutions; look to productivity indicators and business transformation metrics rather than just job counts when assessing AI's economic impact.

Full Transcript

AI is entering its most consequential phase where scale, safety and sovereignty will determine who leads and who lags. Join Bloomberg Tech in London on November 2nd and 3rd as global leaders across business, finance and policy, examine the defining trade-offs shaping the future of AI. Thank you to our presenting sponsors Salesforce and supporting sponsors IDA Ireland and Schneider Electric. Learn more at bloomberglive.com slash tech London. podcasts, radio, news. Hello and welcome to another episode of the OddLots podcast. I'm Joe Weisenthal. And I'm Tracy Allaway. Tracy, another Jackson Hole, another Jackson Hole, another Jackson Hole episode. You know, I think like with Central Banking and some of these topics, people are pretty polite. You know, it's like sometimes you talk to people it's a little bit hard to know like what they're really thinking about all these topics, what they feel. It's hard to, sometimes I do perceive a certain lack of... I don't want to be...

Let's say people are very diplomatic. People are very, thank you for finding the word. It's a diplomatic answer to the point that you're making about diplomacy at an official Fed function. People are very diplomatic and I'm pro-diplomacy, but sometimes it's nice to just check in with like someone just like, all right, let's give it, let's give it to us straight. I'm waiting for you to describe our next guest. No, I'm saying again, all right, I'm just going to jump right into it. No, a guest who I believe when we talk to him, I feel like here's someone who's giving it to us straight. who's not as concerned, perhaps, with, like, you know, being overly diplomatic. Someone who's not afraid to utter the words fiscal dominance. Yeah, someone who's just afraid, someone who just tells it like it is. Anyway, very excited to say, here in Jackson Hole, back with the perfect guest, someone we've had on the podcast multiple times before, Peterson Institute President Adam Pozen, also formerly a member of the Bank of England's Monetary Policy Committee. So, Adam, thank you so much for coming back on Outlots.

After that intro, thank you so much. I don't know what type of warning. Throw some fastballs first. But what do you think of this is the first interview we've done since the speech? Yeah, so what do you think of a

German warship speech? Even though I knew that was the question it was coming. You know, if you were grading it, it's a B minus speech. It's a B minus speech by normal standards. It's much more positive because of the situation we were in. He, the chair, let's be blunt, as you said, the chair had created a huge amount of not just confusion, but in central banking circles, in the sophisticated observers like you, about what he really thinks. And this was both Short term, does he want to raise rates? Does he not want to raise rates? But also, medium long term, what is behind all this task forces and the rhetoric? And then he obviously at the July press conference totally messed things up. Now to be fair, three of his four predecessors as chair had major stumbles in one of their early press conferences. Greenspan, Yellen, Powell. So in a sense, if we are able six months from now to look back, and say this was a pivot point. And so the stuff that Kevin, excuse me, the chair was saying for the first few months was just growing pains and then he got smacked by reality. All good. Then this speech gets upgraded to a B plus and we're all happy. And I think there are a number of people now who hope that's true with some confidence more than before. Because the big thing, and Tracy and I talked briefly about this before coming on, is how different this was than last year.

because last year was all about the attacks on the Fed and the fears for the independence and the standing ovation for Jay Powell was his last thing, well, last Jackson Hole's chair and this year I think deliberately the chair and the team wanted to make it much more normal and it passed much more normal. The second thing is As a European Central Banker said to me, it's breakfast this morning, but I think it's widely shared sentiment for all the anti-forward guidance. He basically set up. They have to hike. Now, as you know, and we talked about a few months ago, I've been urging them to hike for a while. I think inflation is real. So again, I'm glad if they're making that call. But yeah, at this point, they really guided.

If you read, there were four sections to the speech, and the fourth section basically does the litany of the reasons you would think inflation is not going to stay stable, or it's going to persist, and maybe go up from here, even though it goes down for a month or two for oil. And basically, the next sentence is, therefore, we have a tight new guys, didn't settle the next sentence. So, things could get really messy because if they don't hike, Then

people start saying was that because of Trump? Was the chair out was the chair out over his skis and meaning the head of the committee if the chairs ahead of the committee It's better than being behind the committee, but still worrisome then the third thing is he did clean up some Small but important things so like he talked for a while about what's the right target? We don't really know what inflation is And yesterday he stated very clearly court PC 2% That's the target. Similarly, he said something I think quite useful about he doesn't think wage inflation is very good predictor of overall inflation, which is a perfectly reasonable position to take. And then later he said, I think financial conditions are important. I know you guys have talked a lot about this at the industry level. All of these were normal sound, either mainstream or very defensible central bank things. And so that would have been sort of except for the fact that we had these two months, three months of weird stuff. And so it takes on more credibility. I don't want to go on too long, but two other points if I may. So the other two takeaways from me from the speech were, first, he does this whole second section, which is about his principles. And if I were him, I would have made this, and I was surprised. I would have made this a much narrower, much more practical speech. I basically would have cut that section. It was a long speech for someone who says they don't like forward guidance. Exactly. No, you're absolutely right, Tracy. People asked me ahead of time what I thought was going to happen. I thought he was going to compete with Jay Powell from like four years ago for the shortest possible speech. I thought he was just going to, you know, he didn't. So I think that muddles his message because some of the principal stuff It raises more questions than answers. It's either a bromide or what does he really mean by that? And I don't think that was useful. But you know, that's not a big deal. The big deal that I'm worried about is, and a lot of ex-fed, ex-Central Bank people, academics are worried about, is he seems to be still even through yesterday's speech for all its improvements.

trying to maximize his last minute discretion. Yeah. So this is the thing I noticed, because at the very end of the speech, he talks about, well, inflation has to be heading in the right direction and at the right speed. And I don't know what the right speed is. The right speed sounds very subjective to me. Absolutely. And right direction doesn't mean anything unless you're saying the target. I mean, without the speed, just to emphasize your point, without

the speed, then we're back with what we had the last four years, which is inflation is above target. Well, we know what the direction should be. But if we don't declare speed, we're going to bring it back to target. It doesn't mean anything. So yeah, I think I think it's really striking because that to me is the most consistent thing through the stuff he said from his hearings, his confirmation hearings, his first two press conferences, his remarks at ECB Centra and then yesterday is He's sort of reserving the right to make up his mind at the last minute before every meeting without pre-committing What things he's looking at he gave us a little bit of that I mean to his credit he did say some things about which indicators he likes better than others and that's good and You don't want him to be inflexible, but it's really odd for somebody coming from the Hoover Institution who has been seen as a conservative who was mentored by late John Taylor but also just in a broader central banking context, everybody tries to situate themselves between what's called rules versus discretion. Is it like, I'm going to raise rates every time monetary growth goes up or something like that, which generally is a bad idea if you're too strict? Or pure discretion. I'm going to, you know, I don't have to justify. I'm just going to make the right call every time. And that's basically Greenspan circa 1999. And Greenspan could get away with it.

partly because he was very good and partly because by that point he had such dominance over the committee and partly it had it caused trouble for later because then you had the weekend at Bernie's problem which is if if Greenspan God forbid drops dead and then we obviously just lost them recently, but in 1999. I have the image in my head now. Yeah, no, no. In 1999, you know, you were worried if then already somewhat old Alan Greenspan had a heart attack on the Fed's tennis court, all the credibility went away because it was all about him. And this is why Ben Bernanke, Rick Mishkin, Thomas Laubach and I pushed the inflation targeting idea and Ben very consciously when he was chair pushed accountability because he wanted it to be not just all about one person and I think this to me is not talked about enough in the worst most worrying thing about where chair wash is gone. So this is exactly what my next question was going to be. You have been a central banker at the BOE not necessarily the Fed but you have insight into how these monetary policy making committees actually work. What is the role of the Fed chair in its current form as you envision it is

worth supposed to be trying to get everyone on his side and get them voting in his direction or is he supposed to be I don't know synthesizing a common position from the committee that's a really good question Tracy and the in the Fed system that's not specified so and it varies over time partly because of the chairman chair excuse me partly because of the chair partly because of the political surroundings partly because of the economy. But, for example, at the European Central Bank, it is, for all the attention deservedly President Lagarde gets, it is very much meant to be a consensus-driven organization and really try to get as many people on board as possible, and that's part of it, because they're representing nations, not districts within one nation. At the Bank of England, when I served, and still, and this is something Chair Warsh evokes now, Invokes I should say. It's all about discussion. What Kevin calls friendly debate or whatever. Family fight. Yeah, that's what he says you're right. And the Bank of England really prioritizes that. The Fed has generally on average given more power and deference to the chair. Certainly basically since Volcker. So the last 45 years. It varies over time.

But essentially, there's always something. So if financial crisis, Ben Bernanke started running the committee, trying to open it up more, more debate. But financial crisis came and you really wanted Ben making the decisions. And there wasn't time. And then there were these crazy US rules about you can't have more than four people in the room from the committee at one time without it becoming public. Then you have to take notes, right? Then you have to take notes and whatever. And so like ended up, it would be the New York Fed president. Chair Bernanke, Kevin Warsh, and Don Cohn were the four people in the room. And that was the right call given the situation. So anyway, this is part of the reason I worry about the discretion, because the ethic of the committee in the norm of the committee in the Fed system is you don't contradict the chair. You might dissent. But even there, as was pointed out by the former Fed Governor Larry Meyer a while back, There's sort of an informal rule, only so many people dissent on the committee at any one meeting, and the chair never loses a vote. Even Volcker, once it was clear he was going to lose a vote, he basically said, next meeting is for the last meeting. That's super interesting. So one of the comments Chairman Warsh said, he basically said, I don't know, 64 or 65 months of above-target inflation, that's true.

And he said, and then he, but it also said, and this is the Fed's fault. And so, you know, obviously, that means it's in large part, he claims his predecessor's fault, but it also occurs to me, you know, inflation has been above target around the world in many respects, and it's not just a U.S. problem. I'm curious, like that comment, like, is it seems kind of true? Like, is that, is that fair? Is that correct? I think it's fair. I mean, I think what was unfair in the run-up to his appointment by President Trump and in some of the initial statements, there was a lot of talk about diplomatic, not diplomatic. There was a lot of pretty nasty sounding tone about the previous regime. And I'm going to reform. I'm going to clean the house on my watch. That was unnecessary. But I do think it is entirely justified to say, Care Powell with the deference and buy-in of the committee Basically start was late to the game in hiking in 2022 was early if not in my view Profoundly mistaken to cut multiple times last year and is behind the curve again and the international comparison actually doesn't Flatter the US you have to do a little bit of careful things on the data, but basically if you control for three things which is How dependent on imported energy are you? Okay How what was the inflation going into the last few years so what you have to clean up from the predecessor and Then out of the Fed or any centralized control how loose is your fiscal policy? When you look at that the Fed is more of an outlier. So the ECB is kept inflation down the Swiss national banks kept inflation relatively down Bank of England's almost the same as a Fed but additionally this gets into the independent stuff because Part of the reason the US has more inflation in my view and many people's view is because Biden did do a fiscal blowout on coming into office that probably wasn't necessary and Then there's been no consolidation and obviously Trump in his first year did this long-term set of tax cuts. But again, if you take Kevin's what you quoted him, it's ultimately up to the Fed at one time. If you take that seriously, then all this fiscal laxity in discipline should be another reason to hike. So anyway, much too long, but I think even a sober, temperate thing suggests no, Powell did get it wrong. Now, it's not he got it.

horrendously wrong. It's not he got it wrong for the wrong reasons. But you know, when you and I talked, the three of us talked about this last year, which is in the year before that at Jackson Hole, there was this drumbeat from the fed staff and members. The labor markets could be really weak. The inflation is going down. And there were people like me or Michael

Strain, AI, and Diane Swank in KPMG, who out there saying, we don't see this. Now, I'm not saying necessarily They had to listen to us, and clearly it didn't. But just to say, they actually did get something wrong. There were people who were saying, no, the labor market is not going to collapse in the next two years. And they kept saying, yes, it will. So yeah, they did get some things wrong. What's the sort of bar for political interference with the Fed? Because it could be anything from just the president talking about how he thinks rates are artificially high. It could be maybe something a little bit different.

the fiscal dominance idea to the extent that the Fed now feels hamstrung in some way in terms of what it can do with rates. Again, you're right to raise that, Tracy. The first thing to say is a certain amount of yelling at or scapegoating the Fed is part of the game. And in fact, in previous presidencies, it sometimes was healthy. So it's like, oh God, Fed has to raise rates to deal with inflation. I don't want to be blamed for it. So I'm gonna go out there and yell but meanwhile in the background wink wink fed do your job And that was under Volcker under Greenspan under Bernanke under Yellen. I mean that was always understood So a certain amount of not like President Trump tweeting the Fed chairs an enemy of the state not using lawfare To go after Lisa cook governor cook or now governor pal. I mean that's outrageous and arguably criminal um but a certain amount of carping about the central bank, that's fine. Where the rubber hits the road is partly what you said, which is, when does the government treasury secretary or president who's trying to sell US bonds say, you have to help me sell US bonds, whether or not inflation is high. And in that case, what a central banker should do a Fed president or a Fed governor should do is say, I'm here to help you sell U.S. bonds, and your successors sell U.S. bonds, and your successors sell U.S. bonds. And that means I don't do cheating and manipulation now. I'm here to help you sell the bonds. You're preserving the long-term credibility of U.S. debt. Exactly. And so you have to be willing to stand up to that, and that gets us into the potential really big situation now. But the second thing, and this is the part that was really unprecedented under Trump, besides the...

individual illegal attacks on individual members is they were and this was very loud last year they were threatening to take away the votes of some of

the Reserve Bank presidents or quickly turn over the Reserve Bank presidents not not get rid of them and put in their own political appointees rather than having the staggered terms as as intended and there was you know talk about changing the Fed's mandate and there was and then the things about the Fed's budget and so the big one economically speaking is the caving in in the face of fiscal pressure but the almost as big and as a means to that one is the threats to politicize turnover fire remove the functional independence of the Fed by messing with who's appointed when.

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It occurs to me, you're talking about this phrase family fight, and I hadn't thought much about it, because it's a good sounding phrase. It's like, great, we want our, we want, it feels good, right? It feels good, but he's used the phrase a bunch of times now in both of his press conferences, I believe. And I'm curious now, just sort of thinking about a few things that have been said. I asked last year at this conference, I asked a Chicago Fed president, Austin Gillespie, why are dissents rare at the Fed? And one of his answers is that Chairman Powell was good at building consensus. But now I'm sort of curious, like, was there a perception under the Powell years that he was too good at building consensus? Did members of the FOMC feel that actually that meeting room was not a real site for debate and when Kevin Warsh says, we want the family fight. Is he saying, no, we're, I'm okay with, unlike my predecessor, I'm actually okay if you don't agree with me. I think he's saying, I think Kevin Warsh is saying what you just said, Joe, that I am okay with more dissent and more debate. I don't believe him. Okay. But if you take it at face value, he's right.

And that's what I meant. He's right. He's right that debate had gotten too little and it's healthy to have debate. I think Paul, it's partly he was very

good inside the building, but I think it was two other things. I think he smartly and justifiably first under COVID. And then when the Fed was under such overt attack by Trump saying, let's not dissent and give and create divisions in the committee casually. Let's make the bar very high. If you dissent, I understand, but let's not show division because that just gives the attackers on the Fed or in the case of COVID, that just gives the sense of panic. And there is always this temptation. So like when I was on the Bank of England and MPC, which was 2009 to 12, so I was there during the financial crisis. And there was a point at which the governor and Bank of England had a much more lively debate.

Then Governor Mervyn King came at one point and said, look, quantitative easing is really controversial. We're going to take the vote. You'll vote however you want. But once we've done it, can we have a moratorium on people asking whether or not quantitative easing works or not for a while? And I totally supported that. I mean, again, it's an emergency. You don't want to just, oh, well, you know, according to VIXEL, I'm not sure, you know, the usual central bank thing. I'm giving a talk in Glasgow and I just sort of wander off into monetary theory. So I think not through bad motivations, but I think Powell ended up between the COVID point of panic and then the rallying solidarity and people not wanting to look like they were undermining the chairman while the Fed was under attack, you did end up getting much lower than usual dissents. And then what happens, which shouldn't, but does happen is it builds momentum. So if you've gone 12 meetings, 15 meetings without anybody dissenting, the bar psychologically becomes higher for someone to dissent. So again, I hope I'm wrong. I don't think chairwars really means it.

I hope he does. But taking it literally, yeah, we went through a period where there's too little to say. So you mentioned Mervyn King just then, and King is heading the new task force on Fed communication. So I'm curious whether you have any insights or perhaps informed guesses about what the problem is that Warsh slash King are now trying to solve? Well, I know well. two of the three members of that committee. So I worked with Governor King, he was governor, and I knew him before that when I was at the Bank of England. And Peter Fisher, the former New York Fed and US Treasury senior official, is on the board of directors of the Peters Institute.

So just full discussion. So I've not talked to them directly about confidential things, but just discussion. I think this is the committee that has the biggest chance of a surprise to being radical.

I think people are very concentrated on the balance sheet committee. And I think actually they're likely to come out with much more sober, practical, smaller scale recommendations than people think they are. That's just my guess. But knowing who's on that committee, Raghurajan, Jennifer Einstein, Karen Tynan, who's also a colleague of mine. But I think the communications fund is going to surprise people. Both Mervyn and Peter, and I'm only referring to their public statements, have gotten pretty radically skeptical about central bank communications in recent years. So Mervyn King was actually the leader of the inflation targeting movement long before we wrote our book. He's the one who in 1992 when the British pound fell out of the exchange rate mechanism and there's basically a crisis, we need to have something to anchor.

In the UK, he's the one who leapt into action with a couple key staffers. He was chief economist at the bank at the time and said, look, these little countries are trying inflation targeting, but we think it couldn't work for us and he did. And so he was the father or the parent of what used to be known as the fan charts. I love the fan charts. I think I was the only one, but I really like that. No, no, no. There were a few of us scattered around, but it was definitely a niche product. And there are problems. better or worse with the fan charts in the Bank of England has changed it. But basically, Mervyn was leading the effort, and we cited this hugely, Bernanke et al cited this hugely in our book, that they were, again, back to the combination of accountability and transparency. That you were sending out a forecast, you were being much more explicit than central banks usually were about the forecast. We were with the fan charts, which are essentially colored spreads about how likely a given outcome would be. Here's what we centrally think is going to happen. Here's what's may happen. You were trying to give the message. This was probabilistic that, you know, we're making our best guess, but probably going to air on the high side and it's going to be somewhere around here. So anyway, it was very, very much about transparency, accountability.

And more information is better. Regular information is better. Commitment to specific releases at specific times is better. So you have a track record and the committee has to admit when it changes its mind or learn something. Anyway, in more recent years, since Governor King left the bank, retired, he's become quite loud in the spirit of some of the things Chair Warsh has been saying that It's too much noise. Central banks can't forecast. We're lousy at forecasting. Given that, we shouldn't be putting out all this information that's not really misleading. And Mervin also is, from even before that, was very concerned about this idea of the markets getting too dependent on the information and the future plans of the central bank and then not giving as much information back.

and also having more moral hazard that they're not going to take the price and risk. This is the idea that yields are an important policy signal for central bankers or they should be. They should be. And it should be a two-way street. It should be yields and volatility around yields should be higher than it had been. This is their view, not mine. It should be higher than it had been because that forces markets to take risk more seriously and price things better. And so you have less, not zero, but you have less chance of a bubble and less inequality of things running out of them. And then at the same time, that should mean the pricing that the markets give you is more informative. And Peter Fisher, who, after he was at Fed New York and Treasury, was head of Asia and other senior roles at BlackRock, he feels very strongly these two points as well, at least what I know from his public statements.

very skeptical about central banks ability forecast and very worried about central banks certainty about central banks causing bubbles and indiscipline and then cloudy market signals so even though chair wash in the speech here at jackson hall backed off a little bit of some of the more extreme statements that he admitted that he had this thing about a hall of mirrors in the speech which is a way of admitting The market isn't always right. And if the Fed chases the market noise, you may get a weird dynamic. And I was glad he said that. Much better than play the ball, not the referee, which was garbage. Right. That was the previous message was like, oh, market, you're the ball. Like, off you go. Yeah. That was really bad. But anyway, no. I mean, of all the things that annoyed the central banking community, that

may have been the most annoying. But anyway, so just to say, I think Chair Warsh's true beliefs and instincts, though, are much more in the, we can't get any forecasts right. The market has much more information on a lot of things than we do. We have a moral hazard issue of not spoon feeding the markets. So I think the Communications Committee is probably where we're going to get the biggest surprise.

Yeah, I find myself like thinking like maybe all these things various charts dots that are like served a real purpose Maybe a post-GFC and maybe it's just a lot of noise right now, which is we're talking about this sort of you know monetary policy at the theoretical level and a lot of which is great But oh yeah, and you know this I'm just sort of maybe sort of said a little bit here, and I'm curious, you know from think tank world What do you think about so many social scientists, including a lot of economists, suddenly either leaving universities or leaving think tanks and joining one of two very big AI companies? And when you think about the sort of future of social scientists, not so much like, well, we use models, which I'm sure there's going to be tons of that, but just the sort of depending on which side you're on, either vortex or brain drain of people of stature moving into these companies, what do you think? How does that make you feel? I mean, as someone whose main job is to hire, develop, retain talent, I think about this a lot. And it is, as I think you applied, Joe, I mean, I think it's not unprecedented. So during the internet boom, When Amazon was first coming up, and Google was first coming up, they hired economists, and they were hiring them more to be useful like Amazon's pricing model, useful in terms of the internal process. Design and auction systems. Right. So like the very famous MIT microeconomist Hal Varian became Google's first youth economist.

Brought with him and hired a bunch of really smart people But they also were there to talk about policy and help explain Why the technology was good and what kinds of regulations they wanted and didn't want and that's that's normal I mean that's okay, but there was also a little bit of this sense, which we're seeing now an order of magnitude higher. Oh my god I can make real money. Oh my god That's where the cool people are. Oh my god. I can be part of changing the world so It's very seductive. And we've seen this in other fields. You know, when genetic engineering had a boomlet

many decades ago, all these Nobel Prize winners and grad students would leave academic jobs and set up startups to, you know, Genentech, things like that. Right now, I think it's challenging. It's challenging because the case that can be made, and I know I have colleagues I know who are have gone in-house at some of these companies. The case that can be made that this is the most transformative technology of a century and it has the potential to do enormous good for the world is legit. It may be overhyped, it may take longer to get there, we may have to care more about how many people we displace and what happens on way but the idea that that is a valid view, and you want to be part of that, I think is real. And so beyond the money and the sense of I want to be doing the cool stuff, which matter, because think tanks, you pay well compared to average American salaries, but you don't pay like those people. You know, I understand it. You can also go one step further, which is unlike, say, Google or Amazon when they were coming up.

where there were policy issues, but actually a lot of us didn't realize what all the policy issues were. And the economists who were hired, some of them worked on policy, but most of them were, like we said, working on sort of internal tools. Now a lot of what the hiring, say for example, Anthropics is doing is, by their own account, about trying to envision what the right policies are to make the transition. for AI work. And at least among the economists I know who've gone there, that's a sincere belief. But it does make it more awkward because it's one thing to say, oh, I worked for Amazon. I came up with the pricing auction model, and that's why you get that. And people say, you're ripping me off. And you say, no, I'm not. But when it's like someone who's a world-class expert on the economics of innovation or growth, or whatever goes in and then starts saying, well, you know, they're going to create three times as many jobs as they destroy. And the singularity is near. And so you can't regulate it right now because we're on the customer side. They may sincerely believe it, but it gets people understandably discount their views once they're in house and getting money.

Also, and I was talking about this, a very noted academic who has been pursued by all these places who turned it down not to go. I mean, hero. Well, and this is a person who's very techno-optimist. I mean, so it's not

about that. But there's also just, you do inherently, these are still companies. I mean, you're becoming part of a hierarchy. You're losing your independent voice. what you choose to work on, you may choose not to work on that, which you might have worked on because now you work for this company. So again, is it outright corruption of the sort we're seeing in the Trump administration? No, but it is unsettling. And I think there's a role for this academic colleague of mine, the people at the Peterson Institute and like institutes, do I help be willing to settle for the low six figure salaries, which are still pretty darn good and influence policy without going on staff. Just on the AI side of things. So at the moment if you look at the economic impact it's very much sort of short term effects on prices and inflation and capital investment and everything else you know the impact on productivity even jobs is much further off into the future and very theoretical. Do you see any evidence of an impact on the labor market side or productivity here and now?

much more indicative evidence of improvement in productivity, Tracy, than on effects on the labor market. So speaking of colleagues of mine, Martin Chorzampa and Jed Coco are both top economists who work at Peterson and work on these issues. Anton Koronek is affiliated with Peterson, is on leave this year. He went to work at Anthropic this year. But anyway, if you look at their work and in particular outside the work of Jed Coco and he was chief economist at the U.S. Department of Commerce under Biden he was at indeed was it indeed or ADP? Yeah, so he's a real practical labor market economist and he and there are a number of others there's another thing called economic innovation group there are a bunch of them and you're just not seeing the data so the number of hires even of coders you know if you had to pick the two jobs where you most thought their toast would be long haul truckers and coders and lower level coders. And we're just not seeing job growth continues in those industries. I think there's been a lot of yes theory, but really important theory work done not by my team, but by people like Eric Bjorn Wilson at Stanford or Luis Garcano at London School of Economics about why, those are two examples, but they've done great work, about why we haven't seen the job displacement yet. And partly it's a matter of time, as you indicated, time keeps coming up. It's how fast things happen. That there is arguably a period in which it is efficient to have the human and the AI working together, especially as the AI is in sort of

learning mode, and especially as the businesses, just like with the internet, you have the technology and they have to figure out how to reform your business to make use of it. So there's a period there, we don't know if it's one year, five years, probably less than 10 years, it's probably closer to five. But there's a period there where the businesses are changing and the specialized applications are being created.

And things like robotics are being integrated. And during that period, we probably don't lose many jobs. Again, long haul truckers are not trying to make fun of them. I mean, they may be the ones. And so Bryn Jolson has spoken about a J-curve that it takes time for this to happen. And it's similar to the argument I made with you all about the effect of tariffs and migration last time I was on, that businesses, people have to make decisions and implement things. It takes time. Another argument which Luis Garcano and his co-authors have made is what they call messy jobs, which is the idea that actually, again, you can try to come up with the sort of extreme case long haul trucker job. But most, almost every job, and even arguably long haul truckers, have a lot more specific knowledge and are embedded in a lot of relationships that there's much more complementarity and much more I know I say uniqueness, but specialization, then people appreciate. And so just sort of doing a lot of these things that get published by consulting firms or international institutions, like these are the most exposed sectors, these are the most exposed sectors, probably are misleading. And we know this from the past. Again, in the Industrial Revolution in 19th century England, the analog to the long-haul truck driver was the skilled artisan who did weaving.

Those people literally did get replaced by the automated weaving stuff. But if you had done this kind of study before this revolution, outside of that very narrow, the real people, but that very narrow job description, the displacement was very different than you would have expected. Anyway, so the job stuff, it's probably coming. If it is coming, it is showing up in the lack of hiring of younger people. Frozen. Yeah. And Tire Wars had a throwaway line in a speech that said, but it happens to be one I agree with, and again, we've talked about this previously, that a lot of the lack of hiring, I think, is overhang from the huge shifting around of people and redefining

jobs after COVID and the re-employment. And so you can't automatically say the lack of hiring is AI.

I mean, it may be contributing, but there's other stuff. Productivity is different. So there, I think there's a legitimate active debate. And it's not a debate ideologically. I think it's because it's generally it's hard. You got a limited amount of data and you're trying to figure out what's going on. I think there's a legitimate debate about how much productivity growth we've got that's due to AI. Is it the real big money stuff yet? How soon? I'm at probably the just this side of pessimistic on that in the sense that I think going back to the jobs reshuffling after COVID, I don't think the AI productivity kicked in, excuse me, the AI productivity boost to growth kicked in until very recently, last year and a half. But that is much more an open debate. Nobody except some really, really crazy techno-optimists who talk about staying in your lane who are not economists I think I would never say such a thing. He's a man for all seasons. I'm very diplomatic. I think the extreme calls about huge amounts of productivity growth, as my grandmother used to say, we should be so lucky. But we ain't there yet.

I think, by the way, I find the the messy jobs theory to be quite compelling. And by the way, the long haul truckers would absolutely say, look, there's a lot more to this. Oh, I agree. I didn't include, you know, like all the things that they had to do with the warehouse. I didn't mean to. No, I know. But I think it did. But like people think that illustrates that point. Let me tell you what's actually involved. Right. Another one. You know, people point out, Adam Wozomek has pointed out that people still get hired to play the piano at parties. Yeah, yeah. But, you know, as others would argue... Well, the person responds to the crowd, they see what the mood is. These things that the player cannot do, they could say like, oh, like maybe this crowd looks like it needs a tempo thing. So I do think, I do think like the message, these jobs are much more probably complex. I'm glad to hear you say that. And again, I was using the truckers just because that's the example I'm using. But I agree with you. And Adam Osmek.

who's at EIG is one of the other people. I think he's doing great work on this and comes down in this sort of it may come yet, but it hasn't happened yet. But I think the really important point you said about the message jobs is

like with the piano. So I was in a meeting supposed to be off the record. I won't go into details, but a very big, big, big, big, big shot from the AI community, not an economist. There are no economists big shots from the AI community was talking and a pretty famous academic economist. asked this person well you kept telling everyone there's going to be a job apocalypse hasn't happened why do you think that is just open question and among other things this person said the big big big big shot said well you know it turns out people really like dealing with humans and don't always want to deal with machines and even among the not exactly emotional IQ high economist community we're all kind of like Duh. You know, I mean, that's what you mean about the live piano player. I mean, I didn't need AI to have spot, I mean, current generation AI to have Spotify, you know, like figure out if I like Paul Simon and Billy Joel and then I did. Yeah.

Bloomberg.com subscribers can shape the conversation on Bloomberg radio. We got a wicked smart question. Can be part of the conversation. Submit questions for experts and guests you here on air. Visit Bloomberg.com slash ask radio to send questions to our hosts. You may just hear them asked on the air. Exclusively for Bloomberg.com subscribers. Get answers on today's headline, breaking earnings news, and big market moves. Visit Bloomberg.com slash ask radio to join the conversation right here on Bloomberg radio. Since we're talking about some of these questions and measurements and limited data, I wanted to get your take on, I think you may have, I don't know if you saw it, there are these questions about, it came up with NVIDIA specifically, and whether some of the chips that they design, but which are manufactured in manufactured elsewhere, largely Taiwan, et cetera, whether they're being adequately captured in data. And there was this report out that, oh, we should have added 0.3% to GDP, which is not that much in the sense that like, oh, the big techno optimist will write it. But it's not nothing. I'm curious what you think. It is real money. On the other hand, when I look at it, I said, well, the market certainly noticed that NVIDIA has been doing very well. The Fed doesn't target GDP. So it doesn't really imply anything about, oh, we would have done something different.

Tell us what your thoughts on this discussion. So, I mean, GDP measuring how much income we get for how much production and how much labor.

That's what GDP is meant to do on a national basis. And it is much more science than art. But there are pieces of it where it's not very simple. and so there are multiple definitions that get there's something called GDI and then there's cross-final demand and there's these various things and they're all meant to be a check on each other and over time they basically move together. So what you're saying Joe about this discussion of mis-measurement of say NVIDIA or the other top tech companies again doesn't really change the fundamental path but going back to what you both raised if we're trying to assess how much we've seen a big transformation, productivity, this matters. If this 0.3% say a year was overlooked and it is directly attributable to the AI sector, then that tells a different story about productivity. So it does matter. A colleague of mine, I already mentioned Martin Chorzampa at Peterson is doing some work on this. Former Fed official at Peterson, Joe Gagnon, has also written about this.

I mean, there are a lot of subtleties, which I don't even understand. But there are basically two issues. One is sometimes when companies that are based in the US, using US technology, produce stuff abroad, the allocation of how much stuff is actually produced in the US versus not, and therefore, whether it's GDP versus GNP, what's imports, what's exports, gets messed up. With these very complicated supply chains, there is an issue of trying to figure out what stuff gets allocated to the domestic pile versus the important pile. This is the old value-add argument, right? Yeah, sort of. Again, I'm worried I'm going to screw up on nuance. So look on our website for a paper by Joe or a paper by Joe Gagnon or Martin Scherzamp or tweet. I'm afraid I...

But just essentially, there is a discussion over how much is domestic versus national. But as you said, Joe, in the end, the markets, you're either selling stuff or you're not. I mean, NVIDIA's bottom line actually doesn't change based on any of this. Right. And the bottom line. We all know they're making a ton of money, regardless of the government. But also, the people who are working at NVIDIA designing the chips in the US are still getting paid, and that's reflected. Absolutely. And all the money that comes into NVIDIA Some of it goes to the shareholders, some of it goes to investments, some of it goes to the workers. So again, this is worth worrying about, but this is not a major distortion. The second thing though, which is the more contentious part, is there are always in technological

revolutions, there are recurrent statements that GDP or whatever economists are using are just not capturing the true value.

And usually the economist's response to that is some combination of A, well, we're capturing the true market value. So if people are getting more out of it than what they're paying the market, it's great. But the market value is what we're supposed to think about. So that's one response. The second response is, oh, well, There are these various things like hedonic indexing where we try to adjust for quality and this shows up more on the inflation side than the growth side But that helps you figure out what's real growth and what's not so so let's look at this specific sector and try and fix that So there is still a controversy about that. I mean But this goes back to what you were saying about the timing and the productivity or the J curve, right? So we already have GPT, GLOD, whatever I don't want to cite any particular brand name. We have the we have the AI. And you or I can go in and type, get me the cheapest possible ticket to Jackson Hole. I don't want to have to think about it, but don't seat me next to a baby. And that provides Udall's training. Tracy, when she does it, and she says, don't seat me next to Joe. Just seat me next to Joe. Yeah, I thought it was, don't seat me next to Econos. But we spend enough time together. We really need another four hours on a plane. No, no, no, no. And so that's giving me Udall's.

You know, it's saving me some time. It gets me a better experience. I don't get annoyed with the AA or United or Delta website because somebody else is dealing with it for me. Does that show up in GDP? No. So this is why we usually think the big productivity gains and the disinflation stuff comes further down the pipeline. It's when we're down the track, I should say, not the pipeline. when the businesses start transforming. So it was really cool that Intel and Texas Instance and whoever else was building chips in the 90s were following Moore's law and all that. And that showed up a bit in GDP. But the games really happened when McDonald's and Walmart and UPS and everybody transformed their businesses to take advantage of it.

Joe, do you remember when Goldman Economist, I think it might even have been Hattius? Yeah, they put out a note saying that productivity was being mismeasured because the graphics in the new Grand Theft Auto game, I can't remember what edition it was at that time, were so much

better than the previous graphics. We should have them back on now that the new one is coming up. Yeah, we should do that. All right. I have just one more question. We could talk. for hours, and unfortunately, we don't have that much time. But just in terms of the pure inflation outlook, the last time we had you on, it was right after you published a paper saying that you thought inflation was going to be 4% by the end of the year. I can't remember if you were looking at PCE or CPI. I was saying at that time I was saying 4% on.

PCE and a little higher on CPI. Yeah, okay. Well, I mean at least on CPI we got to over 4% earlier in the year and I think a lot of people were surprised by that direction of travel. What's your thinking now? I guess, thank you for such an interesting, I guess what I was saying and it was things I was saying and then a joint piece with Peter Orszag of Lazard. What we were saying was Going back to where we were with the criticisms of the Pal Fed that I think were legitimate The US labor market is much more resilient than they thought credit was much more available or in the in the Terms the financial conditions were not as loose as they are not as tight as they thought fiscal policy was a little looser than we thought and the Fed Having not brought down inflation for 64 months or whatever it was then 55 months did have some Momentum built up and then additionally one thing we talked about was as I said I think there was a J curve in the impact of tariffs and anti migration policies over time it took time for it to kick in but anyway the big point was Whenever the next inflation shock comes it's gonna go worse I had no idea that the president of the United States would bomb Iran when and ignore the fact that disrupting the streets of hormones might have some inflationary effects beyond whatever else you think But I knew there was going to be an inflation shock, and we were primed to have more. So the next couple of months, inflation may trickle down a tenth or two because of the energy market, whatever. But as Chair Warsh said, as many FOMC members have said, this is not good. You've got persistence. You've got persistent inflation in essentially the core measures that are services and not imported goods. You've got you know as the chair side in a speech you've got three six twelve months where The moving average looks like it's going up. It's in the high threes rather than four, but it's going up, you know, so my view is The Fed is gonna hike if they don't hike in September, they're certainly gonna hike in December I expect if they hike in September, they're

still gonna hike in December, you know, and so six months from now Fed funds will be 75 pips, or 100 pips higher than it is now. And inflation will start coming down for reels, as the kids say. But until then, we're going to be in this three and a half to four and a half range with some upside risk. All right. Adam Pozen, always great catching up with you. Thank you. Especially this beautiful location. Thank you so much for coming back on our bus. Thank you for having me. I'm a big listener, so thank you for having me. Thank you. Love to hear it. Tracy, I love...

Chatted with Adam. It's so good. It's always really good. I'm really glad we made it happen. You know what's interesting? I'll be curious to see how Powell's legacy ages. I think that's going to be, as Kevin Weir said, 64 or 65 months of above-target inflation. When you think back at the last several Fed shares, a lot of generally the one who people... really think that was a bad tenure was Arthur Burns, right? Despite and Bernanke is held up like people will have think of him fondly despite the fact that he presided over a financial crisis and several years of high unemployment. It doesn't seem like from a reputational perspective. High unemployment under your watch gets sort of penalized the same degree as high inflation. People really seem to hate inflation. You're right. Like it's kind of skewed. Yeah, it clearly is. So, you know, between like the questions like, well, did the Fed gather this sense of momentum where people were not dissenting for maybe reasons that were sort of inevitable or structural, etc. Then you go over five years of above target inflation. I just think it'll be really interesting to see like how people are talking about.

power on the ears ahead. It was also interesting to hear that there seems to be a sort of unspoken norm that you can only have a handful of distance. The other thing I was thinking about just on the messy jobs note, I was, you know, there was this thinking out there that, oh, well, for instance, contractors can get replaced because now you can just ask chat GPT how you're supposed to, I don't know, fix your toilet or something like that. But I was thinking, So my husband and I, we were doing a project where we were roofing an outdoor shed and we asked chat GPT how to do it and we watched a couple YouTube videos and it told us to use this one product like to stick on the shingles and things. And then after we had started doing it,

we realized that that product only worked in environments that were above 60 degrees Fahrenheit and we were in New England.

And the bots and the YouTube videos were incapable of spotting that we were in fact in Connecticut versus Florida. So, you know, there's there's some nuance left for humans. Yeah, I think that's right. I feel strongly like for all the extraordinary things that the models can do that there are just so many of these minor things that we don't even articulate about what human judgment looks like that they're not there yet. They may yet get there. They may get there by the end of the year. But they're not quite there yet. But just on the conversation, I do think it's interesting. The term that I've been thinking about with the Warsh speech, I found it to be hawk-ish, which is like with a dash between the hawk and the ish. As in, it was clearly more like, yes, clear that there's a plan to fight it, that there is going to be work to do to get inflation, because he said the two things that were key, which is inflation is going in the wrong direction and policy has been insufficiently restrictive, which therefore the third thing that the silent part is therefore high grades, which he didn't say. So like that is hawkish. On the other hand, it was not hawkish in the sense that we are now about to embark on an aggressive, it was not Powell 2022 where it's just, we're going to get inflation down and I'll see you next year. Well, it also begs the question of, okay, you could have said the exact same things at the July meeting. And yet he opted to hike because he said he wanted to see more information, but more information is always coming out. And also in this environment, it feels like more shocks are also constantly happening. And so, you know, you have to wonder what the threshold actually is. Yeah. Well, anyway, I'm glad.

Big ear, much to think about. All right, shall we leave it there? Let's leave it there. This has been another episode of the OddLots podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway. And I'm Jill Weisenthal. You can follow me at the stalwart. Follow our producers, Carmen Rodriguez at Carmen Arman, Dashel Bennett at Dashbot, Kale Brooks at Kale Brooks, and Kevin Lozano at Kevin Lloyd Lozano. And for more OddLots content, you should check out our daily newsletter. You can find that at Bloomberg.com forward slash OddLots. And you can chat about all of these topics 24-7 in our Discord, discord.gg slash OddLots. And if you enjoyed

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